

Real Estate & Capital Goods

US Election Impact: All Eyes on Forward Rates Expectations and USD/BRL Strength

Following confirmation of Donald Trump's presidential election win ([link](#)), we remind investors of its potential implications for our coverage universe. Overall, most of the impact to our coverage is indirect through changes in macroeconomic trends, especially real rates in Brazil and US\$ strength.

Since **Brazilian and Chilean Shopping Malls & Properties** stocks are traded as bond proxies by investors given their ability to pass-through inflation to rents, an increase in long-term rates results in a reduction in company valuations. The spread between real long-term rates to companies' FFO yields is the main valuation metric to monitor. In light of this, a stronger USD, as well as higher inflation in the US, could imply higher inflation in Brazil and Chile and thus, higher long-term rates and an even more discounted valuation. Brazilian Malls (**MULT, IGTI and ALOS**) are trading at 450bps spread to 10Y real rates vs ~110bps between 2017-2020 (Trump's 1st term) while the Chilean Malls (**PARAUCO, CENCOMAL**) are trading at 650bps spread vs an average of ~550bps in 2017-2020. As for **Homebuilders**, mid & high income players (**CYRE, EZTC**) would be negatively impacted by higher rates which would make housing less affordable, while in the low income segment (**MRVE, TEND, DIRR and CURY**), government housing program MCMV creates a supportive environment – mortgage not linked to market rates – making it our preferred place to hide in the Real Estate segment. The sector is trading at a P/E 12M Fwd. of 7.2x vs 14.7x between 2017 and 2020. Bear in mind that the 10Y real rate in Brazil reached a low of 2.75% in the end of 2017-2020 period vs ~6.7% currently.

Implications for **Capital Goods** varies from company to company given sector end-market differences and potential policy implementations (tariffs and energy regulation). A weaker BRL would help exporters and companies with strong presence in the US – mostly **EMBR/ERJ** and **WEG** – and to some extent **TUPY and MYPK**. Higher inflation in Brazil – as a result of a stronger USD – likely would increase LV prices reducing demand at a time when the sector has limited pricing power given aggressive competition from Chinese OEMs, impacting companies with higher exposure to the segment in Brazil such as **LEVE and MYPK**. In the case of higher import tariffs favoring nearshoring production on USMCA, **WEG, NEMAKA, TUPY and MYPK** which have local production in the region could gain market share from competitors outside North America. On the other hand, **RAPT and POMO** currently have lower exposure to the US (<20% of top-line); therefore, being less impacted by potential trade wars. For **WEG**, every 10% depreciation in the BRL implies ~7% expansion in EBITDA. Moreover, the transformers opportunity in North America should remain in place as investments in Data Centers and AI should not be impacted by a potential change in energy generation investments. On **EMBR/ERJ** we also do not expect any meaningful tariff impact given the lack of US-based players producing narrowbodies with up to ~80 seats (E175 E1 jet). Moreover, Embraer's bizjets are already mostly built in Melbourne, Florida.

Latin American Cement & Construction / Real Estate and Capital Goods

Marcelo Motta ^{AC}

(55-11) 4950-6712
marcelo.g.motta@jpmorgan.com

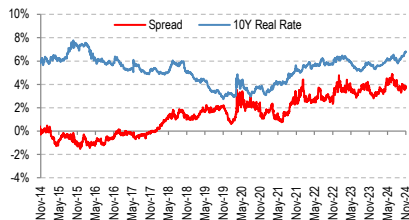
Jonathan S. Koutras

(55-11) 4950-3549
jonathan.s.koutras@jpmchase.com
Banco J.P. Morgan S.A.

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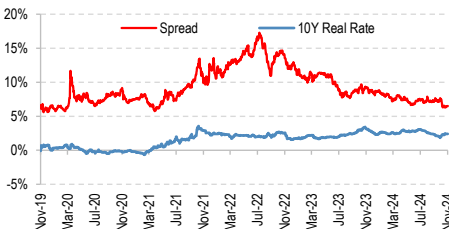
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Figure 1: Brazilian Shopping Malls Spread to 10Y Real Rate



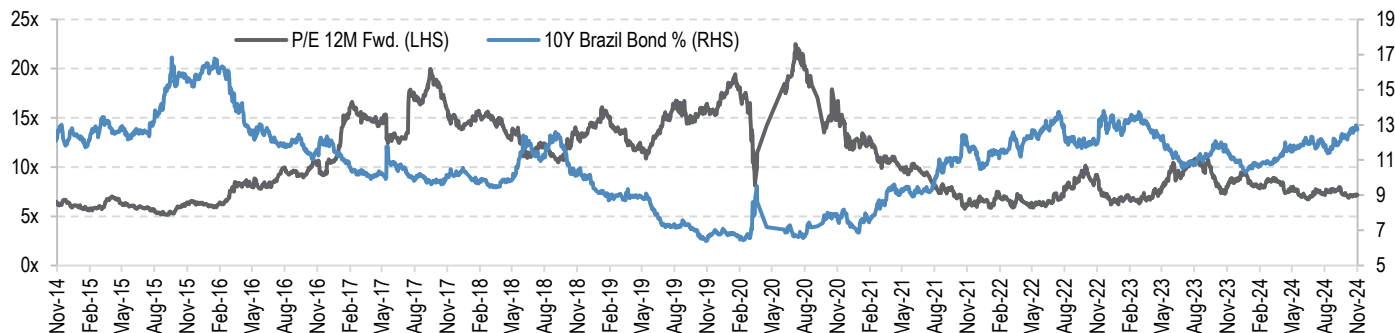
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 2: Chilean Shopping Malls Spread to 10Y Real Rate



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

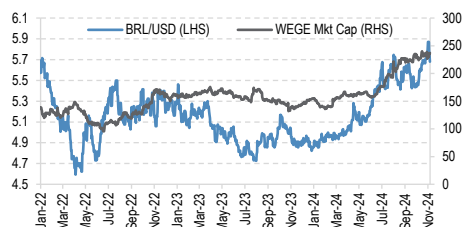
Figure 3: Brazilian Homebuilders P/E 12M. Fwd vs Brazil 10Y Yield



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 4: WEGE Market Cap vs USD/BRL

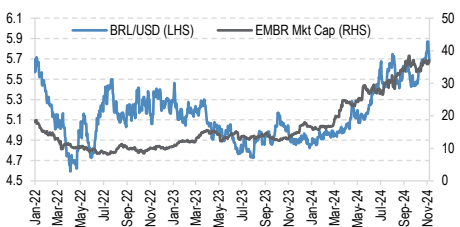
Market Cap in R\$ billions



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 5: EMBR Market Cap vs USD/BRL

Market Cap in R\$ billions



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Companies Discussed in This Report (all prices in this report as of market close on 06 November 2024, unless otherwise indicated)

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